

# **Woodfine Professional Centres Limited Partnership**

10-Year Financial Forecast  
(Expressed in Canadian dollars)

January 2026

# Woodfine Professional Centres Limited Partnership

## Statements of Forecasted Financial Position

### 10-Year Financial Forecast

(Expressed in Canadian Dollars)

|                                     | Projected<br>1<br>\$ | Projected<br>2<br>\$ | Projected<br>3<br>\$ | Projected<br>4<br>\$ | Projected<br>5<br>\$ | Projected<br>6<br>\$ | Projected<br>7<br>\$ | Projected<br>8<br>\$ | Projected<br>9<br>\$ | Projected<br>10<br>\$ |
|-------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| <b><u>Assets:</u></b>               |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| <b>Current</b>                      |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Cash                                | 156,758,333          | 81,095,046           | 5,393,927            | 11,088,884           | 16,959,126           | 27,963,161           | 1,629,310            | 1,629,310            | 1,629,310            | 1,629,310             |
| Investment properties at cost       | 72,291,667           | 144,583,333          | 216,875,000          | 386,625,000          | 556,375,000          | 883,750,000          | 1,211,125,000        | 1,211,125,000        | 1,211,125,000        | 1,211,125,000         |
| <b>Total assets</b>                 | <b>229,050,000</b>   | <b>225,678,379</b>   | <b>222,268,927</b>   | <b>397,713,884</b>   | <b>573,334,126</b>   | <b>911,713,161</b>   | <b>1,212,754,310</b> | <b>1,212,754,310</b> | <b>1,212,754,310</b> | <b>1,212,754,310</b>  |
| <b><u>Liabilities:</u></b>          |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Current debt                        | -                    | -                    | -                    | -                    | -                    | -                    | 7,435,746            | 7,472,925            | 7,510,289            | 7,547,841             |
| <b>Current liabilities</b>          | -                    | -                    | -                    | -                    | -                    | -                    | 7,435,746            | 7,472,925            | 7,510,289            | 7,547,841             |
| Long-term debt                      | -                    | -                    | -                    | 175,000,000          | 350,000,000          | 687,500,000          | 979,793,891          | 972,320,967          | 964,810,678          | 957,262,837           |
| <b>Total liabilities</b>            | -                    | -                    | -                    | <b>175,000,000</b>   | <b>350,000,000</b>   | <b>687,500,000</b>   | <b>987,229,637</b>   | <b>979,793,891</b>   | <b>972,320,967</b>   | <b>964,810,678</b>    |
| <b><u>Equity:</u></b>               |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Partners' units                     | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700          | 277,777,700           |
| Accumulated loss                    | (48,727,700)         | (52,099,321)         | (55,508,773)         | (55,063,816)         | (54,443,574)         | (53,564,539)         | (52,253,027)         | (44,817,281)         | (37,344,357)         | (29,834,068)          |
|                                     | <b>229,050,000</b>   | <b>225,678,379</b>   | <b>222,268,927</b>   | <b>222,713,884</b>   | <b>223,334,126</b>   | <b>224,213,161</b>   | <b>225,524,673</b>   | <b>232,960,419</b>   | <b>240,433,343</b>   | <b>247,943,632</b>    |
| <b>Total equity and liabilities</b> | <b>229,050,000</b>   | <b>225,678,379</b>   | <b>222,268,927</b>   | <b>397,713,884</b>   | <b>573,334,126</b>   | <b>911,713,161</b>   | <b>1,212,754,310</b> | <b>1,212,754,310</b> | <b>1,212,754,310</b> | <b>1,212,754,310</b>  |

# Woodfine Professional Centres Limited Partnership

Statements of Forecasted Net (Loss)/Income and Comprehensive (Loss)/Income

10-Year Financial Forecast

(Expressed in Canadian Dollars)

|                                                        | Projected<br>1<br>\$ | Projected<br>2<br>\$ | Projected<br>3<br>\$ | Projected<br>4<br>\$ | Projected<br>5<br>\$ | Projected<br>6<br>\$ | Projected<br>7<br>\$ | Projected<br>8<br>\$ | Projected<br>9<br>\$ | Projected<br>10<br>\$ |
|--------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| <b>Revenue</b>                                         |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Revenue from operations                                | -                    | -                    | -                    | 22,771,875           | 22,771,875           | 58,419,375           | 58,419,375           | 127,168,125          | 127,168,125          | 127,168,125           |
| <b>Costs of operations:</b>                            | -                    | -                    | -                    | 22,771,875           | 22,771,875           | 58,419,375           | 58,419,375           | 127,168,125          | 127,168,125          | 127,168,125           |
| Issue costs                                            | 2,500,000            | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Financing costs                                        | 15,000,000           | -                    | -                    | 10,500,000           | -                    | 20,250,000           | -                    | -                    | -                    | -                     |
| Advisory fees (to WCP)                                 | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000            | 2,500,000             |
| Admin and compliance                                   | 500,000              | 500,000              | 500,000              | 500,000              | 500,000              | 500,000              | 500,000              | 500,000              | 500,000              | 500,000               |
| Board of directors                                     | 450,000              | 450,000              | 450,000              | 450,000              | 450,000              | 450,000              | 450,000              | 450,000              | 450,000              | 450,000               |
| Share-based compensation                               | 27,777,700           | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
|                                                        | 48,727,700           | 3,450,000            | 3,450,000            | 13,950,000           | 3,450,000            | 23,700,000           | 3,450,000            | 3,450,000            | 3,450,000            | 3,450,000             |
| Earnings before interest tax and depreciation (EBITDA) | (48,727,700)         | (3,450,000)          | (3,450,000)          | 8,821,875            | 19,321,875           | 34,719,375           | 54,969,375           | 123,718,125          | 123,718,125          | 123,718,125           |
| Interest costs (debenture costs)                       | -                    | -                    | -                    | (4,372,303)          | (13,119,456)         | (25,929,020)         | (41,854,259)         | (49,360,667)         | (48,988,880)         | (48,615,234)          |
| Interest income                                        | -                    | 78,379               | 40,548               | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
|                                                        | <b>(48,727,700)</b>  | <b>(3,371,621)</b>   | <b>(3,409,452)</b>   | <b>4,449,572</b>     | <b>6,202,419</b>     | <b>8,790,355</b>     | <b>13,115,116</b>    | <b>74,357,458</b>    | <b>74,729,245</b>    | <b>75,102,891</b>     |

# Woodfine Professional Centres Limited Partnership

## Statements of Forecasted Change in Equity

### 10-Year Financial Forecast

(Expressed in Canadian Dollars)

|                                                             | Projected<br>1<br>\$ | Projected<br>2<br>\$ | Projected<br>3<br>\$ | Projected<br>4<br>\$ | Projected<br>5<br>\$ | Projected<br>6<br>\$ | Projected<br>7<br>\$ | Projected<br>8<br>\$ | Projected<br>9<br>\$ | Projected<br>10<br>\$ |
|-------------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| <b>Balance as at 1 January Comprehensive (loss)/income:</b> | -                    | 229,050,000          | 225,678,379          | 222,268,927          | 222,713,884          | 223,334,126          | 224,213,161          | 225,524,673          | 232,960,419          | 240,433,343           |
| Profit/(loss) for the year                                  | (48,727,700)         | (3,371,621)          | (3,409,452)          | 4,449,572            | 6,202,419            | 8,790,355            | 13,115,116           | 74,357,458           | 74,729,245           | 75,102,891            |
| <b>Transactions with owners:</b>                            |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Share capital issued                                        | 250,000,000          | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Units issued to Benetti                                     | 27,777,700           | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Share-based compensation reserve                            | 27,777,700           | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Units issued to Benetti – release of share-based comp.      | (27,777,700)         | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Less: Dividend paid                                         | -                    | -                    | -                    | (4,004,615)          | (5,582,177)          | (7,911,319)          | (11,803,604)         | (66,921,712)         | (67,256,321)         | (67,592,602)          |
| Total transactions with owners                              | 277,777,700          | -                    | -                    | (4,004,615)          | (5,582,177)          | (7,911,319)          | (11,803,604)         | (66,921,712)         | (67,256,321)         | (67,592,602)          |
| <b>Balance as at 31 December</b>                            | <b>229,050,000</b>   | <b>225,678,379</b>   | <b>222,268,927</b>   | <b>222,713,884</b>   | <b>223,334,126</b>   | <b>224,213,161</b>   | <b>225,524,673</b>   | <b>232,960,419</b>   | <b>240,433,343</b>   | <b>247,943,632</b>    |
| <b>Note:</b>                                                |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| <b>Movement of accumulated loss:</b>                        |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| <b>Balance as at 1 January</b>                              | -                    | (48,727,700)         | (52,099,321)         | (55,508,773)         | (55,063,816)         | (54,443,574)         | (53,564,539)         | (52,253,027)         | (44,817,281)         | (37,344,357)          |
| Profit/(loss) for the year                                  | (48,727,700)         | (3,371,621)          | (3,409,452)          | 4,449,572            | 6,202,419            | 8,790,355            | 13,115,116           | 74,357,458           | 74,729,245           | 75,102,891            |
| Less: Dividend paid                                         | -                    | -                    | -                    | (4,004,615)          | (5,582,177)          | (7,911,319)          | (11,803,604)         | (66,921,712)         | (67,256,321)         | (67,592,602)          |
| <b>Balance as at 31 December</b>                            | <b>(48,727,700)</b>  | <b>(52,099,321)</b>  | <b>(55,508,773)</b>  | <b>(55,063,816)</b>  | <b>(54,443,574)</b>  | <b>(53,564,539)</b>  | <b>(52,253,027)</b>  | <b>(44,817,281)</b>  | <b>(37,344,357)</b>  | <b>(29,834,068)</b>   |

# Woodfine Professional Centres Limited Partnership

## Statements of Forecasted Cash Flows

### 10-Year Financial Forecast

(Expressed in Canadian Dollars)

|                                 | Projected<br>1<br>\$ | Projected<br>2<br>\$ | Projected<br>3<br>\$ | Projected<br>4<br>\$ | Projected<br>5<br>\$ | Projected<br>6<br>\$ | Projected<br>7<br>\$ | Projected<br>8<br>\$ | Projected<br>9<br>\$ | Projected<br>10<br>\$ |
|---------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| <b>Operating activities</b>     |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Net income/(loss) for the year  | (48,727,700)         | (3,371,621)          | (3,409,452)          | 4,449,572            | 6,202,419            | 8,790,355            | 13,115,116           | 74,357,458           | 74,729,245           | 75,102,891            |
| <b>Items not affecting cash</b> |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Share-based compensation        | 27,777,700           | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Interest costs                  | -                    | -                    | -                    | 4,372,303            | 13,119,456           | 25,929,020           | 41,854,259           | 49,360,667           | 48,988,880           | 48,615,234            |
| Interest income                 | -                    | (78,379)             | (40,548)             | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Cash from operations            | (20,950,000)         | (3,450,000)          | (3,450,000)          | 8,821,875            | 19,321,875           | 34,719,375           | 54,969,375           | 123,718,125          | 123,718,125          | 123,718,125           |
| <b>Investment activities</b>    |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Investment properties purchased | (72,291,667)         | (72,291,667)         | (72,291,667)         | (169,750,000)        | (169,750,000)        | (327,375,000)        | (327,375,000)        | -                    | -                    | -                     |
| <b>Financing activities</b>     |                      |                      |                      |                      |                      |                      |                      |                      |                      |                       |
| Dividend paid                   | -                    | -                    | -                    | (4,004,615)          | (5,582,177)          | (7,911,319)          | (11,803,604)         | (66,921,712)         | (67,256,321)         | (67,592,602)          |
| Interest received               | -                    | 78,379               | 40,548               | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Interest paid                   | -                    | -                    | -                    | (4,372,303)          | (13,119,456)         | (25,929,020)         | (41,854,259)         | (49,360,667)         | (48,988,880)         | (48,615,234)          |
| Units issued to partners        | 250,000,000          | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                    | -                     |
| Debt financing                  | -                    | -                    | -                    | 175,000,000          | 175,000,000          | 337,500,000          | 299,729,637          | -                    | -                    | -                     |
| Repayment of capital loan       | -                    | -                    | -                    | -                    | -                    | -                    | -                    | (7,435,746)          | (7,472,925)          | (7,510,289)           |
| Increase/(decrease) in cash     | 156,758,333          | (75,663,288)         | (75,701,119)         | 5,694,957            | 5,870,242            | 11,004,035           | (26,333,851)         | -                    | -                    | -                     |
| Cash, beginning of the year     | -                    | 156,758,333          | 81,095,046           | 5,393,927            | 11,088,884           | 16,959,126           | 27,963,161           | 1,629,310            | 1,629,310            | 1,629,310             |
| <b>Cash, end of the year</b>    | <b>156,758,333</b>   | <b>81,095,046</b>    | <b>5,393,927</b>     | <b>11,088,884</b>    | <b>16,959,126</b>    | <b>27,963,161</b>    | <b>1,629,310</b>     | <b>1,629,310</b>     | <b>1,629,310</b>     | <b>1,629,310</b>      |

# Woodfine Professional Centres Limited Partnership

## Notes to the 10-Year Financial Forecast

(Expressed in Canadian Dollars)

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### 1. Purpose of the financial forecast

The financial forecast has been prepared by management for use by prospective investors in their evaluation of potential investments in the Woodfine Professional Centres Limited Partnership (the “Partnership”) and may not be appropriate for any other purpose.

### 2. Nature of operations

The Partnership was formed under the laws of the Province of British Columbia pursuant to a limited partnership agreement between Woodfine Professional Centres Inc. (the “General Partner”) and Woodfine Capital Projects Inc. (the “Promoter”), as the initial limited partner, dated August 17, 2012, and which was amended and restated on December 1, 2016, as the sixth amended and restated Partnership agreement (the “LPA”).

The objective of the Partnership is to provide investors with a means of potentially achieving income, capital appreciation and long-term liquidity through participation in the ownership and development of four product offerings (the “WOODFINE BUIDLINGS”) containing various types of commercial real estate projects located in Canada. These offerings are as follows:

**WOODFINE PROFESSIONAL CENTRE** means an institutional-quality office building, certified to comply with Leadership in Energy and Environmental Design (“LEED”) core and shell standards, of three to five storeys newly constructed by the Partnership on a qualified investment owned by the Partnership, providing from 50,000 to 90,000 square feet of leasable area designed to meet the space requirements of professional service providers in such fields as health care, accounting, law, engineering, and other specialties, and including at least three designated full-size surface parking stalls per 1,000 square feet of leasable area.

**WOODFINE RETAIL SELECT** means a combination of one or more institutional-quality commercial buildings, certified to comply with LEED core and shell standards, newly constructed by the Partnership on a qualified investment owned by the Partnership, providing from 10,000 to 25,000 square feet of space to national tenants such as banks, tenants that require free-standing space, engineering companies, medical clinics, or a “High Street” strip of end users, and including at least four designated full-size surface parking stalls per 1,000 square feet of leasable area.

**WOODFINE SUBURBAN** means an institutional-quality office building, certified to comply with LEED core and shell, of six to fifteen storeys newly constructed by the Partnership on a qualified investment owned by the Partnership, providing floor plates ranging in size from 15,000 to 25,000 square feet, designed to meet the space requirements of professional service providers in such fields as health care, accounting, law, engineering, and other specialties, and including a combination of at least three designated full-size surface and underground parking stalls per 1,000 square feet of leasable area.

**WOODFINE TECH INDUSTRIAL** means a combination of one or more industrial/commercial buildings, certified to comply with LEED core and shell standards, newly constructed by the Partnership on a qualified investment owned by the Partnership, providing individual bays ranging in size from 2,000 to 10,000 square feet, designed to meet the space requirements of industrial/commercial owner-operators, and including at least two designated full-size surface parking stalls per 1,000 square feet of leasable area.

# **Woodfine Professional Centres Limited Partnership**

## **Notes to the 10-Year Financial Forecast**

### **(Expressed in Canadian Dollars)**

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The statements of forecasted financial position present the financial position of the Partnership and as such, do not include all of the assets and liabilities of the partners.

The Partnership's registered office is 1200 Waterfront Centre, 200 Burrard Street, Vancouver, British Columbia, V7X 1T2.

On December 12, 2012, the Partnership filed a final prospectus in connection with a proposed public offering by the Partnership, at which time the Partnership became responsible for continuous disclosure obligations as outlined by National Instrument 51-102.

Continuous disclosure obligations are available on SEDAR under the Partnership's profile at [www.sedar.com](http://www.sedar.com).

The Partnership plans to continue raising funds through the issue of Partnership units until a maximum of 2,500,000 units (representing subscriptions of \$250,000,000) have been purchased by investors (the "Offering").

On August 8, 2019, Woodfine Management Corp. ("Management Corp"), acting as agent for the Promoter and sub-agent for the Partnership, announced a strategic partnership with Vector Casa de Bolsa, S.A. de C.V. ("Vector"). Vector accepted a non-binding proposal to collaborate and evaluate the potential to arrange for investors to purchase a minimum of \$10 million worth of units issued by the Partnership.

On January 23, 2020, Management Corp, acting as agent for the Promoter and sub-agent for the Partnership, announced further to Management Corp's previous press release dated August 8, 2019, that Vector will evaluate distribution of Partnership units, on a best-efforts basis, and that investments will be made through an authorized vehicle.

On June 18, 2020, Management Corp, acting as agent for the Promoter and sub-agent for the Partnership, announced further to Management Corp's previous press releases dated August 8, 2019, and January 23, 2020, that Vector has ratified the initial letter of intent and that investments will be made through a registered security of an authorized vehicle.

On May 14, 2021, Management Corp, acting as agent for the Promoter and sub-agent for the Partnership, announced further to Management Corp's previous press releases dated August 8, 2019, January 23, 2020, and June 18, 2020, that Vector has amended the termination date outlined by the ratified memorandum of understanding from September 16, 2020, to November 15, 2021.

As at the time of this report, the Partnership can confirm that, following authorization from the board of the General Partner, it has received favourable responses from the owners of potential building sites in regional markets in Alberta and Ontario.

These responses confirm the General Partner's view that land in Alberta and Ontario suitable for the construction of WOODFINE BUILDINGS is available for purchase at prices that are within the range expected by the General Partner.

The General Partner is assessing the responses to its proposals, and plans to continue negotiations with owners prior to finalization of written purchase agreements. Purchase agreements will be conditional on the Partnership's success in raising the capital it requires to close the purchase of land and meet its ongoing obligations.

# Woodfine Professional Centres Limited Partnership

## Notes to the 10-Year Financial Forecast

### (Expressed in Canadian Dollars)

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Upon the first closing of the Offering, and at subsequent closings if more than one closing occurs, Benetti Holdings Inc. ("Benetti") will be issued units equal to 11.111% of the number of units issued for cash consideration of \$0.001 per unit pursuant to the LPA. Although the issuance of units to Benetti is conditional on the closing of the Offering, these units are considered share-based payments for services provided by Benetti related to the Offering and as founder of the business of the Partnership. Under IFRS 2 Share-based Payment, these units are required to be measured at fair value, assumed to be \$100 per unit, with share-based compensation expense being recognized on a straight-line basis from the date of the initial LPA describing the arrangement with Benetti to the estimated closing date of the Offering.

Any units issued to Benetti will be held in escrow, and Benetti will not obtain unrestricted ownership of the units and will not have the right to transfer its units to a third-party purchaser until the earlier of: (i) the limited partners having received distributions from the Partnership equal to 100% of their initial investment in units, (ii) the closing of a final sale of all or substantially all of the assets of the Partnership, or (iii) the sale of all of Benetti's units to the owner or owners of at least 75% of the outstanding units.

The units held by Benetti will receive the same per-unit distributions as all units issued to the investors under the Offering.

Certain directors and officers of the Partnership, and certain service providers and/or their family members, have an ownership interest in the Promoter, with no director, officer, or service provider holding more than a 1% interest in the Promoter except Peter M. Woodfine, who indirectly holds a significant interest.

The Promoter is responsible for the costs of the Offering and the Partnership will make a contribution to these costs equal to 1% of the gross proceeds of the Offering. These costs include all tax, accounting, marketing and legal fees and disbursements, reasonable out-of-pocket expenses incurred by the General Partner, all other costs reasonably incurred in connection with the formation of the Partnership and the Offering of units, and all other expenses reasonably incurred in connection with the formation or capitalization of the Partnership, but do not include agent's fees, which are an additional expense. The Partnership's contribution to expenses will be \$100,000 in the case of the sale of 100,000 units under an Offering or series of Offerings and \$2,500,000 in the case of the sale of the maximum number of permitted units under the LPA.

A cash commission of 6% is payable to licensed agents who make sales of units, and a referral fee of the same amount is payable, where permissible, to other persons who introduce purchasers of units to the Partnership (except that no referral fee is payable to Peter M. Woodfine, his family members, and their associates).

The General Partner has retained Woodfine Advisors Inc. (the "Advisor"), a related party under common control, to provide procurement, development, and management services relating to the Partnership's properties. Once the General Partner has approved a proposal presented by the Advisor for the acquisition and development of a property, the Partnership will reimburse the Advisor for the costs and third-party expenses incurred in performing advisory services in relation to the approved project. Approved third-party expenses will include the fees, at market rates, of management companies retained by the Advisor to manage the Partnership's properties. The Advisor must cover its own costs and expenses where it proposes an acquisition or development of a site by the Partnership that is not approved by the General Partner.



# Woodfine Professional Centres Limited Partnership

## Notes to the 10-Year Financial Forecast

(Expressed in Canadian Dollars)

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The Partnership will pay to the Advisor an annual advisory fee equal to 1% per year of the aggregate gross proceeds that have been received by the Partnership from the sale of units ("Gross Funded Value"). The advisory fee is payable in 12 equal monthly installments on the last day of each month. The amount of the advisory fee remains fixed once the closing of subscriptions under the anticipated agency agreement has occurred. The amount of the advisory fee is calculated as a fixed percentage of the Partnership's subscribed capital (subject to increase for increases in the Canadian Consumer Price Index), and is not related to the value of the Partnership's net assets, or to any increase in that value that may occur.

The independent directors of the General Partner will each be paid an annual fee and expenses ranging from \$10,000 in the case of an Offering of 100,000 units to \$150,000 in the case of a maximum Offering of 2,500,000 units. The Partnership does not compensate the non-independent directors or the executive officers of the General Partner, or the directors or executive officers of the Promoter, the Advisor, or any other member of the Woodfine Group, except to the extent that they are compensated through the issuance of the Benetti units described above.

### **3. Significant accounting policies**

#### **(a) Basis of presentation of financial forecast**

The financial forecast consists of the statements of financial position, statements of forecasted net (loss)/income and comprehensive (loss)/income and statements of forecasted cash flows of the Partnership. The financial forecast has been prepared using assumptions that reflect management's intended course of action for the periods presented, given management's judgement as to the most probable set of economic conditions. The actual results achieved during the financial forecast periods will vary from the forecasted results, and these variations may be material.

The presentation and functional currency of the Partnership is the Canadian dollar.

#### **(b) Cash**

Cash consists of cash on hand. Cash is a financial instrument, which is initially recorded at fair value and subsequently measured at amortized cost.

#### **(c) Share-based payments**

The Partnership has entered into an arrangement to issue units at a discount upon closing of an Offering of units. The Partnership recognizes share-based compensation expense in the consolidated statement of income (loss) and comprehensive income (loss) and a share-based payment reserve in equity (deficit) related to this arrangement at the estimated fair value of the discounted units expected to be issued over the estimated period to the closing of an Offering. For the financial forecast purposes, 2,777,777 units were assumed to be issued in year 1, and consequently an expense of 27,777,700 (2,777,777 units x \$100 per unit) was recognized in year 1 of the forecast.

# Woodfine Professional Centres Limited Partnership

## Notes to the 10-Year Financial Forecast

(Expressed in Canadian Dollars)

### (d) Investment properties

Investment properties comprise buildings held for long-term rental yields and not occupied by the Partnership. Investment properties are carried at cost. Depreciation and possible impairment have not been considered in the forecast.

### (e) Obligations of the Partnership

Liabilities of the Partnership are recognized in the consolidated statement of financial position when the Partnership has a current legal or constructive obligation as a result of past events, which is more likely than not to cause an outflow of future economic benefits and can be estimated reliably on the basis of best estimates. Provisions are measured at the best estimate of the expenditure required to settle the obligation at the reporting date and are discounted where the effect is material.

## 4. Long-term debt

For the purpose of this financial forecast, the first building is expected to be funded with proceeds from the offerings up to the Gross Funded Value. In year 4 to year 7, financing for additional buildings is expected by way of first secured mortgage debenture sales rather than through commercial banks. Interest cost is expected to be 5% and the related upfront debenture-related financing fees are expected to be 3%.

The sales of secured mortgage debentures and forecasted debt-to-development-cost and interest coverage ratios are as follows:

|                                 | Projected<br>4<br>\$ | Projected<br>5<br>\$ | Projected<br>6<br>\$ | Projected<br>7<br>\$ | Projected<br>8<br>\$ | Projected<br>9<br>\$ | Projected<br>10<br>\$ |
|---------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| <b>Operating Activities</b>     |                      |                      |                      |                      |                      |                      |                       |
| Net Income/ (loss) for the year | 4,449,572            | 6,202,419            | 8,790,355            | 13,115,116           | 74,357,458           | 74,729,245           | 75,102,891            |
| <b>Fees and Expenses</b>        |                      |                      |                      |                      |                      |                      |                       |
| Financing costs                 | 10,500,000           | -                    | 20,250,000           | -                    | -                    | -                    | -                     |
| Interest paid                   | (4,372,303)          | (13,119,456)         | (25,929,020)         | (41,854,259)         | (49,360,667)         | (48,988,880)         | (48,615,234)          |
| <b>Financing Activities</b>     |                      |                      |                      |                      |                      |                      |                       |
| Debt financing - Series A       | 175,000,000          |                      |                      |                      |                      |                      |                       |
| Debt financing - Series B       |                      | 175,000,000          |                      |                      |                      |                      |                       |
| Debt financing - Series C       |                      |                      | 337,500,000          |                      |                      |                      |                       |
| Debt financing - Series D       |                      |                      |                      | 299,729,637          |                      |                      |                       |
| Repayment of capital loan       |                      |                      |                      |                      | (7,435,746)          | (7,472,925)          | (7,510,289)           |
| Ending Debt                     | 175,000,000          | 350,000,000          | 687,500,000          | 987,229,637          | 979,793,891          | 972,320,967          | 964,810,678           |
| Debt-to-development-cost ratio  | 0.45                 | 0.63                 | 0.78                 | 0.82                 | 0.81                 | 0.80                 | 0.80                  |
| Interest coverage ratio         | 2.02                 | 1.47                 | 1.34                 | 1.31                 | 2.51                 | 2.53                 | 2.54                  |

# Woodfine Professional Centres Limited Partnership

## Notes to the 10-Year Financial Forecast

(Expressed in Canadian Dollars)

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### 5. Partners' units

The Partnership's authorized capital consists of up to 2,777,777 units.

### 6. Revenue

Revenue reflects net lease income from building operations. The Partnership will construct the WOODFINE PROFESSIONAL CENTRES and WOODFINE SUBURBAN OFFICE on or adjacent to Power Centres in Canada. Properties are designed to meet the needs of professional providers in fields such as health care, accounting, law, engineering, and municipal administration. In order to achieve site efficiencies without overbuilding the office component, the Partnership will construct two other development classes: WOODFINE TECH INDUSTRIAL and WOODFINE RETAIL SELECT.

Management assumed a development yield of 10.5% and construction cost to calculate this figure. The development yield is expected to be constant through all levels of funding. There is no specific allowance for bad debts or tenant improvements; however, improvements were factored into the development yield.

### 7. Operating costs

Expenses not directly related to a specific building operation were considered separate to building operation costs and consist of:

- An advisory fee paid monthly, equal to 1% per year of the Gross Funded Value
- Referral fees at 6% of the Gross Funded Value
- Issue costs at fixed 1% of the Gross Funded Value

Administration, compliance, and directors' costs are expected to be mainly fixed costs and therefore relatively lower in future years because economies of scale are achieved with higher dollars raised and possibly larger buildings built. There is no amortization or tax expense considered in the projections.

### 8. Construction cost

The average construction cost is expected to be \$310 per square foot.

### 9. Distributions

The distributions to limited partners will be a minimum of 90% of distributable income. This will occur until the aggregate of all distributions made to limited partners is at least equal to 100% of the gross proceeds paid by limited partners for the units issued to them during the initial period. After the initial period, 10% of the distributable income shall be applied for the purpose of redeeming first secured mortgage debentures, until all such debentures are redeemed, and thereafter for the purposes of the Partnership.

### 10. Other key assumptions

- (a) As described in note 6 to the financial forecast, the Partnership will earn income from lease rentals. The financial forecast, including the assumed distributable profits, is contingent on, among other things, the Partnership being able to successfully complete the following:

# **Woodfine Professional Centres Limited Partnership**

## **Notes to the 10-Year Financial Forecast**

**(Expressed in Canadian Dollars)**

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- (i) raise funds through private placements or through the issue of prospectuses in Canadian jurisdictions;
  - (ii) find suitable building sites and achieve forecasted construction costs.
- (b) Interest is calculated using the average of the ending and opening debt balances at 5%.
- (c) Interest income is based on opening cash balances at 0.50%.

Actual results achieved may be significantly different from those presented in the financial forecast, and there is no assurance that the results shown in the financial forecast will be achieved.